

Price-Earnings Ratio

The Price-Earnings or P/E ratio is arguably the most commonly quoted ratio. Investors, analysts and advisers alike quote this ratio to justify or support their contention. The reason for its popularity is that it reduces to an arithmetical figure the relationship between market price and the earnings per share and thereby allows one the opportunity to determine whether a share is overpriced or under priced and check the time it would take to recover one's investment. In addition, it reflects the opinion of the investing public about the company, i.e. whether the company is growing or declining, and whether the price is likely to rise, fall or remain stagnant.

The P/E ratio is calculated by dividing the market price of a company's share by its earning's per share, i.e. profit after tax and preference dividend divided, by the number of shares issued by the company.

$$\text{Price-Earnings Ratio} = \frac{\text{Market price per share}}{\text{Earnings per share}}$$

Samudra Lamps Ltd is a company involved in the manufacture of electric bulbs and tube lights. At 31 March, its shareholders funds were as follows:

	(Rs. lakh)
500,000 shares of Rs. 10 each	50
100,000 10% preference shares of Rs. 10 each	10
Reserves	70
	130

The profit that the company made that year after tax and preference dividend was Rs. 400 lakh. The market price of the share on 31 March was Rs. 112.

The earnings per share would be:	$400 \div 50 =$	Rs. 8
The price earnings ratio would be:	$112 \div 8 =$	Rs.14

This means that the investor would take 14 years to recover his investment through earnings.

This also translates to a yield of 7.14% (100/14 years).